

Statement of Profit or Loss and Statement of Financial Position

Excel file for this topic: [excel/Financial_Statements.xlsx](#). The Amina Stores statements below come from its Worked Example tab; questions FS.6 to FS.10 are self-marking on the blue tabs.

All amounts are in Malaysian Ringgit (RM).

1. Learning goals

1. Prepare a Statement of Profit or Loss for a sole trader.
2. Prepare a Statement of Financial Position for a sole trader.
3. Include year end adjustments from Chapters 8, 10 and 11.
4. Calculate working capital (net current assets).

2. The two statements

Statement of Profit or Loss (SPL)	Statement of Financial Position (SFP)
Covers a period : "for the year ended 31 December 2025"	A snapshot on one day: "at 31 December 2025"
Shows income and expenses	Shows assets, liabilities and capital
Answers: did the business make a profit?	Answers: what does the business own and owe?
Closes income and expense accounts	Lists balances which carry forward to next year

3. Layout of the Statement of Profit or Loss

[Name] Statement of Profit or Loss for the year ended [date]

	Particulars	RM	RM	RM
	Revenue			X
Less:	Sales returns			(X)
	Net revenue			X
Less:	Cost of sales			
	Opening inventory		X	
Add:	Purchases	X		
Less:	Purchases returns	(X)		
Add:	Carriage inwards	X	X	
	Cost of goods available for sale		X	
Less:	Closing inventory		(X)	(X)
	Gross profit			X
Add:	Other income (discount received, rent received, commission received, profit on disposal, decrease in allowance, irrecoverable debts recovered)		X	X
				X
Less:	Expenses (wages, rent, insurance, electricity, carriage outwards, discount allowed, irrecoverable debts, increase in allowance, depreciation, loss on disposal, loan interest)		X	(X)
	Profit for the year			X

How the three RM columns work:

- The **first** RM column holds the purchases lines.
- The **second** RM column holds single items and subtotals (opening inventory, net purchases, each income and expense).
- The **third** RM column holds the main totals (net revenue, cost of sales, gross profit, profit for the year).

Key formulas

- Net revenue = Revenue - Sales returns
- Cost of sales = Opening inventory + Purchases - Purchases returns + Carriage inwards - Closing inventory
- Gross profit = Net revenue - Cost of sales
- Profit for the year = Gross profit + Other income - Expenses

Carriage inwards vs carriage outwards

- Carriage **inwards** is the cost of bringing goods **in** from suppliers. It is part of **cost of sales**.
- Carriage **outwards** is the cost of delivering goods **out** to customers. It is an **expense**.

4. Layout of the Statement of Financial Position

[Name] Statement of Financial Position at [date]

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Non-current assets			
	Premises, machinery, vehicles, fixtures	X	(X)	X
	Total non-current assets	X	X	X
	Current assets			
	Inventory		X	
	Trade receivables	X		
Less:	Allowance for irrecoverable debts	(X)	X	
	Other receivables (prepayments, accrued income)		X	
	Bank		X	
	Cash		X	
	Total current assets		X	
Less:	Current liabilities			
	Trade payables		X	
	Other payables (accruals, income in advance)		X	
	Bank overdraft		X	
	Total current liabilities		X	
	Net current assets (working capital)			X
				X
Less:	Non-current liabilities			
	Loan (repayable after more than 12 months)			(X)
	Net assets			X
	Financed by:			
	Capital at start of year			X
Add:	Profit for the year (or less: loss)			X
				X
Less:	Drawings			(X)
	Capital at end of year			X

The Cost | Accumulated Depreciation | Carrying Amount headings apply to the non-current assets. Current assets and liabilities use the second and third columns for items and totals.

Net assets **must equal** capital at the end of the year. If not, look for an error.

Order of current assets: least liquid first. Inventory, then trade receivables, other receivables, bank, cash.

5. How to deal with each adjustment

Adjustment	In the SPL	In the SFP
Closing inventory	Deduct in cost of sales	Current asset
Accrued expense	Add to the expense	Current liability (other payables)
Prepaid expense	Deduct from the expense	Current asset (other receivables)
Accrued income	Add to the income	Current asset (other receivables)
Income received in advance	Deduct from the income	Current liability (other payables)
Irrecoverable debt written off (after trial balance)	Add to irrecoverable debts expense	Deduct from trade receivables
Increase in allowance	Expense	Receivables less new allowance
Decrease in allowance	Other income	Receivables less new allowance
Depreciation for the year	Expense	Add to accumulated depreciation
Loan interest owing	Expense	Current liability (other payables)

Golden rule: every adjustment affects **both** statements. Tick each adjustment twice as you use it.

6. Full worked example: Amina Stores

Amina Stores: Trial Balance at 31 December 2025

Particulars	Debit (RM)	Credit (RM)
Revenue		110,000
Purchases	62,000	
Sales returns	1,500	
Purchases returns		1,200
Carriage inwards	800	
Carriage outwards	600	
Inventory at 1 January 2025	8,000	
Wages	14,000	
Rent	5,500	
Insurance	1,800	
General expenses	2,100	
Discount allowed	400	
Discount received		500
Irrecoverable debts	700	
Premises at cost	60,000	
Equipment at cost	20,000	
Provision for depreciation: equipment		6,000
Trade receivables	12,000	
Allowance for irrecoverable debts		400
Trade payables		7,500
Bank	4,300	
Cash	200	
Loan (repayable 2030)		10,000
Capital		67,300
Drawings	9,000	
Total	202,900	202,900

Additional information at 31 December 2025

1. Inventory was valued at RM9,500.
2. Rent of RM500 was owing.
3. Insurance of RM300 was prepaid.
4. The allowance for irrecoverable debts is to be 5% of trade receivables.
5. Equipment is depreciated at 10% per year on cost (straight line). Premises are not depreciated.
6. Loan interest of 5% per year has not been paid.

Workings

Working	Calculation	RM
W1 Rent	$5,500 + 500$	6,000
W2 Insurance	$1,800 - 300$	1,500
W3 New allowance	$12,000 \times 5\%$	600
W3 Change in allowance	$600 - 400 = \text{increase}$	200
W4 Depreciation	$20,000 \times 10\%$	2,000
W4 Accumulated depreciation	$6,000 + 2,000$	8,000
W5 Loan interest	$10,000 \times 5\%$	500
W6 Other payables	$500 \text{ rent} + 500 \text{ interest}$	1,000

Amina Stores

Statement of Profit or Loss for the year ended 31 December 2025

	Particulars	RM	RM	RM
	Revenue			110,000
Less:	Sales returns			(1,500)
	Net revenue			108,500
Less:	Cost of sales			
	Opening inventory		8,000	
Add:	Purchases	62,000		
Less:	Purchases returns	(1,200)		
Add:	Carriage inwards	800	61,600	
	Cost of goods available for sale		69,600	
Less:	Closing inventory		(9,500)	(60,100)
	Gross profit			48,400
Add:	Other income			
	Discount received		500	500
				48,900
Less:	Expenses			
	Wages		14,000	
	Rent		6,000	
	Insurance		1,500	
	General expenses		2,100	
	Carriage outwards		600	
	Discount allowed		400	
	Irrecoverable debts		700	
	Increase in allowance for irrecoverable debts		200	
	Depreciation: equipment		2,000	
	Loan interest		500	(28,000)
	Profit for the year			20,900

Amina Stores

Statement of Financial Position at 31 December 2025

	Particulars	RM	RM	RM
		Cost	Accumulated Depreciation	Carrying Amount
	Non-current assets			
	Premises	60,000	-	60,000
	Equipment	20,000	8,000	12,000
	Total non-current assets	80,000	8,000	72,000
	Current assets			
	Inventory		9,500	
	Trade receivables	12,000		
Less:	Allowance for irrecoverable debts	(600)	11,400	
	Other receivables (insurance prepaid)		300	
	Bank		4,300	
	Cash		200	
	Total current assets		25,700	
Less:	Current liabilities			
	Trade payables		7,500	
	Other payables (rent + loan interest owing)		1,000	
	Total current liabilities		8,500	
	Net current assets (working capital)			17,200
				89,200
Less:	Non-current liabilities			
	Loan (repayable 2030)			(10,000)
	Net assets			79,200
	Financed by:			
	Capital at start of year			67,300
Add:	Profit for the year			20,900
				88,200
Less:	Drawings			(9,000)
	Capital at end of year			79,200

Net assets RM79,200 = Capital at end of year RM79,200. The statement balances.

7. Exam tips

- Write the **full heading**: business name, statement name, date or period.
- Show **workings** for every adjusted figure. Examiners give marks for method.
- Tick each trial balance item as you use it. Every item is used **once**.
- Drawings go in the **capital** section, never in the SPL.
- A loan repayable within 12 months is a **current** liability. After 12 months it is **non-current**.

- A bank overdraft is a current liability.

8. Common mistakes

- Putting carriage inwards under expenses.
- Using the trial balance allowance instead of the **new** allowance in the SFP.
- Adding the whole allowance to expenses instead of only the change.
- Forgetting loan interest owing.
- Treating drawings as an expense.

9. Check yourself

1. Opening inventory RM5,000, purchases RM30,000, purchases returns RM1,000, carriage inwards RM500, closing inventory RM6,000. Find cost of sales.
2. Current assets RM18,000, current liabilities RM7,500. Find working capital.
3. Opening capital RM40,000, profit RM12,000, drawings RM9,000. Find closing capital.

Answers: see [model-questions/Answer_Key.md](#) , Financial Statements section.